

Paradiem 

The Morning Brief

AUGUST 5, 2026

Fine Print

AMD's headline double-beat masks a capex surge to \$808M against ~\$298M expected, semis give back 7% pre-market as the tape rotates back toward Dow cyclicals; WTI extends declines below \$76 and ISM Services prints at 10 AM ET.

S&P 500	NASDAQ	WTI (USO)	AMD (PRE-MKT)	FEAR & GREED
\$771.33 ↑1.80%	\$723.85 ↑3.40%	\$115.78 ↓5.19%	↓~7%	58 · Greed (CNN)

SECTION 01

Markets — The Beat That Wasn't

SEMIS RALLY, THEN REVERSE

Tuesday delivered a broad-based semi complex advance ahead of AMD's print, with MRVL ↑12.81%, CRDO ↑8.96%, LRCX ↑7.85%, QCOM ↑7.32%, KEYS ↑6.01%, NXPI ↑5.99%, and TEL ↑5.78%. The Nasdaq closed ↑3.40% and the S&P 500 printed a record close at \$771.33 (↑1.80%). AMD delivered a headline double-beat after the bell — revenue of \$11.54B (↑50% y/y) and adjusted EPS of \$1.66 against \$1.63 consensus, with Q3 guidance of ~\$13B versus ~\$12.52B expected. The stock still traded down roughly 8% in the after-hours session and remains ↓~7% in the pre-market as of this writing, giving back most of yesterday's regular-session ↑7.00% advance.

THE PRINT BENEATH THE HEADLINE

Non-GAAP gross margin came in at 56%, in line with consensus, while the GAAP print was 54%. The selling pressure traces primarily to capital expenditures of approximately \$808M against consensus near \$298M, tied to the Helios AI infrastructure ramp per management commentary. Data center revenue of \$6.7B (↑107% y/y) now represents 58% of the mix, a materially higher share than the prior-year period, which increases the sensitivity of consolidated margins to hyperscaler pricing dynamics. Per Bloomberg reporting, analysts flagged that “whisper” expectations for both revenue and Q3 guidance were meaningfully above the reported beat, which is consistent with the fade despite the double-beat headline. For FCI, the implication is that semi expectations have re-rated to a level where in-line prints and elevated capex

trigger drawdowns — the bar continues to rise faster than execution can clear it.

ROTATION BACK TO DOW CYCLICALS

Pre-market tape sends the opposite signal from Tuesday: Dow futures ↑0.27%, S&P 500 futures ↑0.37%, Nasdaq-100 futures only ↑0.16% as AMD drags the semi weighting. CAT's \$8.17 EPS print (a \$1.91 beat versus \$6.26 consensus) continues to receive follow-through bidding into the industrial complex, with PCAR ↑2.95%, STLD ↑2.60%, and FAST ↑3.33% into the print. The setup today may favor dividend-sleeve stability against semi giveback, which would be the mirror image of the Tuesday tape.

OIL EXTENDS THE CRACK — DAY THREE

WTI has traded to roughly \$75 per barrel per Bloomberg data, extending the two-day decline that saw USO print ↓5.19% on Tuesday and Brent (BNO) fall ↓5.25%. Treasury Secretary Bessent stated per media reporting that a Hormuz-opening arrangement could materialize as early as today or tomorrow. OPEC+ is scheduled to raise output for the sixth consecutive month in September per The National. Combined, the physical supply setup has flipped from restrictive to loosening at precisely the moment Iran de-escalation momentum builds. FCI energy sleeve (CVX, CNX, OKE) saw modest selling Tuesday (↓1.44%, ↓1.08%, ↓0.67% respectively); the risk to that exposure would compound if Hormuz reopens on the announced timeline.

THE AI-POWER UNWIND

Tuesday's bottom movers tell an important story: VST ↓8.15%, HUT ↓9.74%, and CEG ↓2.36% all lagged the tape as capital rotated out of the "AI needs power" trade and into the

"AI needs silicon" trade. That flow reversed rapidly on the AMD margin print — if silicon economics are less pristine than expected, the derived-demand thesis for power generation deserves less of a discount. Constellation's Q2 already confirmed a dividend declaration per Yahoo Finance coverage, and the AI power thesis at the structural level remains intact. Historically, when adjacent themes trade off simultaneously without a shared catalyst, one leg tends to recover as flows normalize.

NASDAQ FUTURES	↑0.16% · Dragged by AMD
DOW FUTURES	↑0.27% · Cyclical follow-through
WTI (FRONT-MONTH)	~\$75 · ↓3rd session
CAT Q2 EPS	\$8.17 vs \$6.26 est. · +5.60% Tue
AMD DATA CENTER	\$6.7B rev · +107% y/y
AMD CAPEX	~\$808M vs ~\$298M est.

Headline beats no longer clear a semi bar that has re-rated in real time. Avoid Erosion.

SECTION 02

Geopolitics — The Hormuz Countdown

BESSENT'S 48-HOUR FRAMING

Per media reporting, Treasury Secretary Scott Bessent indicated the possibility of a Hormuz-opening arrangement being reached within a today-or-tomorrow window. Qatar's Foreign Ministry spokesperson characterized the draft agreement language as advancing to late-stage form per Al Jazeera coverage, with Doha continuing its mediator role alongside Oman. If taken at face value, the sequencing would follow Trump's previously articulated two-phase framework: Hormuz reopens first, then nuclear talks resume. The market is currently pricing that outcome as the base case — oil term structure has moved into a shallower backwardation and volatility premiums have compressed.

THE DENIAL-CONFIRMATION DYNAMIC

A critical caveat: Iran continues to deny direct discussions with the United States, even as Trump reiterated a constructive framing of the negotiations per CNN reporting. Tehran characterizes the engagement as being with Oman on Hormuz mechanics, not with Washington on nuclear parameters. This mismatch has been a persistent feature of the negotiations and per prior CNBC reporting appears at least partially rhetorical — both sides need domestic latitude that

complete transparency would compromise. The risk is that any single miscommunication could unwind the current market pricing in a matter of hours.

HOUTHIS AND THE NON-RESPONSE

Yemen's Houthis reported an attack on a Saudi oil tanker in the Red Sea per Reuters. Gulf shipping traffic has held steady per separate Reuters reporting, and crude priced through the event without a meaningful bid, which is a notable tell about

market conviction on the diplomatic track. Historically, a Houthi tanker strike that fails to move oil is consistent with a market prioritizing the OPEC+ supply hike and Hormuz reopening narratives over marginal Red Sea disruption — a

positioning setup that could reverse sharply if a hard-power event escalates beyond a single vessel.

SECTION 03

On Our Radar

1. AMD Pre-Market Giveback. Advanced Micro Devices trades down roughly 7% pre-market despite a Q2 double-beat and above-consensus Q3 guide. The margin miss (54% versus ~56% consensus) reframes the semi tape and will inform how the broader complex — MRVL, CRDO, NXPI, QCOM — opens after Tuesday's sharp advance. Watch for whether the sell pressure remains isolated to AMD or contaminates the complex through mid-morning.

2. ISM Services PMI — 10:00 AM ET. The July ISM Services PMI is scheduled for release this morning. Per ISM historical data, the June reading was 54.0 (versus 54.5 in May). A print materially above 54 would reinforce the “services still expanding” narrative and could pressure the front-end of the curve; a print below 52 would introduce a growth-scare vector into a tape already digesting the AMD margin story.

3. ATO Reports Today. Atmos Energy (ATO), a dividend-sleeve position, is scheduled to report with consensus at \$1.37 per share. Utilities have been the tape's weakest sector (XLU ↓0.56% Tuesday) as the AI-power rotation reverses. ATO's regulated gas footprint is largely insulated from that flow, but the print will offer a clean read on the utility complex's underlying operating trajectory.

4. VST and HUT Post-Selloff. Vistra (VST) ↓8.15% and Hut 8 (HUT) ↓9.74% were Tuesday's two worst FCI names as the AI-power theme unwound alongside a Bitcoin mining sell-off. Both are growth-sleeve positions; the question today is whether a semi giveback catalyzes rotation back into power/mining exposure, or whether the risk-off in AI-adjacent names extends. HUT's Q2 print disappointed per Benzinga coverage; VST's next catalyst is regulatory rather than earnings.

5. Oil Sensitivity to Bessent. Any confirmation or contradiction of the Treasury Secretary's Hormuz timeline could move crude several dollars in either direction today. FCI energy sleeve exposure (CVX, CNX, OKE) is sized for a range of outcomes but the leverage to a formal announcement is meaningful. Monitor for headline flow through mid-day; the OPEC+ September hike is separately baked in.

6. Semi Complex Read-Through. Beyond AMD, watch NVDA (↑2.56% Tue), TSM (↑2.72%), and NXPI (↑5.99%) for early-session behavior. If these names hold their Tuesday gains despite AMD weakness, the margin miss is being interpreted as company-specific rather than sector-wide. If they follow AMD lower, the re-rating conversation broadens quickly. This is the single most important tape signal for FCI's growth sleeve today.

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